

## FRAMEWORK

# Reading a moat without adjectives

*Every investor says they look for moats, then describes them in words you can't measure — 'strong brand', 'sticky product', 'network effects'. Here's how I try to reduce a moat to things you can actually count.*

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## The adjective problem

'Wide moat.' 'Durable franchise.' 'Strong pricing power.' Moat language is where rigorous investors go soft, because adjectives feel like analysis and require none. The test of whether you actually understand a moat is whether you can express it as a number that would change if the moat weakened. If you can't, you don't have a thesis, you have a vibe.

## The one number that isn't optional

A moat, economically, is exactly one thing: the ability to earn returns on capital above the cost of that capital, for longer than competition should allow. So the first number is return on invested capital versus the cost of capital. If ROIC sits durably above WACC, something is defending those returns — that something is the moat. If it doesn't, there is no moat, however beloved the brand. Everything else is an attempt to explain why the gap persists and how long it lasts.

## Turning each moat type into a measurement

The useful move is to translate each fuzzy moat into its countable tell. Pricing power: does the company raise prices at or above inflation without losing volume — visible in gross margin stability across cost cycles. Switching costs: what share of revenue recurs, and how low is churn — sticky products show it in retention numbers, not in slogans. Network effects: is unit economics improving as the network grows — cost-to-serve falling, take-rate holding. Scale advantage: are margins structurally above smaller competitors' and widening. Each adjective has a number hiding behind it; the work is finding the number and watching whether it holds.

## The variable everyone skips: duration

Investors argue about whether a moat exists and ignore the harder question — for how long. A moat worth ten years of excess returns and a moat worth thirty are valued completely differently, and the difference swamps almost every other input in a DCF. I try to name the competitive advantage period explicitly and then look for the erosion signals: is market share flat or slipping, are new entrants funded and credible, is the technology that underpins the advantage stable or shifting. A moat you can't put a rough number of years on is a moat you're valuing by hope.

## Where the numbers lie

Measurement has its own failure modes, and a framework that pretends otherwise is just adjectives with decimals. High ROIC can be an accounting artefact of an asset-light model that's actually fragile. Margin stability can reflect a benign cost environment about to end, not real pricing power. Retention can look wonderful right up until the switching cost is disrupted. The numbers narrow the argument; they don't end it. You still have to ask why the number is what it is, and what would break it.

## The discipline, stated plainly

When someone pitches me a moat, I ask for the number and the mechanism: which metric shows it, and why does competition fail to close the gap. If the answer is an adjective, the analysis hasn't started yet. A moat you can measure is one you can monitor — you'll see it weaken in the data before you see it in the share price, which is the entire point of doing the work.

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